FEDERAL PLANNING BRIEF | TAX YEAR 2026

Turning time, capital and documentation into defensible tax savings

A decision-ready review of long-term rental real estate, short-term rentals, oil and gas working interests, and lower-risk alternatives for a high-W-2 household.

> **Central finding.** The investment does not create the W-2 offset by itself. The loss must be economically real, currently deductible, nonpassive (or matched with passive income), within basis and at-risk limits, and supported by contemporaneous records.

Prepared for Jimmy and Mandy
Current through October 10, 2026
Federal overview; state analysis is intentionally separate

EXECUTIVE BRIEF

Mandy's available time is the household's most valuable planning variable

If Mandy is not employed elsewhere, she may be able to devote enough bona fide, owner-level work to a real-property business to clear participation tests that are difficult for a full-time W-2 employee. That fact changes the ranking of strategies, but it does not make deductions automatic.

1

FIRST PRIORITY

Max certain shelters

Employer retirement deferrals, Health Savings Account (HSA), eligible flexible spending accounts, and employer nonqualified deferred compensation usually offer the cleanest tax result.

2

HIGHEST FIT

Operating real estate

A long-term rental portfolio with real-estate-professional status or a materially participated short-term-rental business may create nonpassive losses.

3

HIGHEST CAUTION

Oil and gas

A qualifying working interest can generate nonpassive deductions, but tax treatment should never substitute for reserve, title, operator, and cash-flow diligence.

What deserves action now

1. **Build a 2026 projection before buying anything.** Model taxable income, marginal federal and state rates, Alternative Minimum Tax (AMT), Net Investment Income Tax, passive carryovers, basis, and the excess business loss limitation.
2. **Choose one participation path.** For long-term rentals, Mandy would need to qualify as a real estate professional and materially participate. For a short-term rental outside the tax definition of a rental activity, material participation is the central test.
3. **Design the records before the work.** Keep dated calendars, task descriptions, travel records, vendor communications, booking logs, and management decisions. Hours reconstructed after year-end are weaker evidence.
4. **Underwrite after-tax return, not deduction size.** A $100,000 currently usable deduction saves about $37,000 of federal income tax at a 37% marginal rate before AMT and state effects; it still leaves $63,000 of economic cost if the asset produces no value.

> **Important.** This report is educational planning material, not tax, legal, investment, or accounting advice. A tax professional should approve the structure and reporting position before funds are committed.

DECISION FRAMEWORK

A loss reaches W-2 income only after five gates are cleared

Tax marketing often starts with a projected deduction. The correct analysis starts with whether the loss survives the ordering rules that can suspend or defer it.

Gate 1	**Economic substance and placed-in-service status.** The activity must be profit-motivated and operating; a signed contract or year-end deposit alone is not enough.
Gate 2	**Tax basis.** Losses generally cannot exceed the owner's adjusted basis in the entity or activity.
Gate 3	**At-risk amount.** Section 465 can disallow losses funded by protected, nonrecourse, or otherwise non-at-risk amounts. Oil and gas receives special scrutiny.
Gate 4	**Passive-activity classification.** Passive losses usually offset only passive income. Long-term rental losses normally remain passive unless the real-estate-professional and material-participation rules are met.
Gate 5	**Return-level limits.** The excess business loss limitation, AMT, interest limits, hobby-loss rules, personal-use limits, and other provisions can delay or reduce the result.

Three possible outcomes

- **Current W-2 offset:** all gates cleared.
- **Suspended loss:** potentially usable against future passive income or after a qualifying disposition.
- **Capitalized or disallowed:** no current deduction; recovery may occur through depreciation, basis, or not at all.

Planning equation

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Cash tax benefit = currently usable deduction x marginal tax rate - AMT or other offsets
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Then compare the benefit with transaction costs, financing costs, expected pretax return, illiquidity, recapture, and exit taxes.

The passive-loss shortcut is narrower than it sounds

Active participation in rental real estate can permit a special allowance of up to $25,000, but it phases out between $100,000 and $150,000 of modified adjusted gross income. For many high-W-2 households, that allowance is unavailable, making nonpassive classification the key issue.

LONG-TERM RENTALS

Cost segregation works only if the rental loss is usable

For a conventional rental, the strongest path to a current W-2 offset is generally: Mandy qualifies as a real estate professional, the household materially participates in each rental activity (or a valid aggregation election applies), and the depreciation loss clears basis, at-risk, and return-level limits.

Real-estate-professional qualification

- More than half of Mandy's personal services in all trades or businesses must be in real-property trades or businesses in which she materially participates.
- She must perform more than 750 hours in qualifying real-property trades or businesses during 2026.
- Employee hours generally do not count unless she owns more than 5% of the employer.
- Jimmy's hours cannot be used to satisfy Mandy's two qualification tests.

Material participation in the rental

- Spousal participation is combined for material-participation testing, even though the real-estate-professional qualification is tested separately.
- Common tests include more than 500 hours; substantially all participation; or more than 100 hours and at least as much as any other individual.
- Investor-only monitoring does not count unless it is tied to day-to-day management or operations.

Operating design matters

Design choice	Tax effect	Control
Third-party manager	May make 100-hour tests harder	Compare hours before hiring
Multiple rentals	Each is separate by default	Assess aggregation election
Late-year purchase	Little time for 750 hours	Do not force unsupported hours
Personal use	Can restrict deductions	Track owner-use days
Related-party rent	Fair-rent and use issues	Document market terms

Reality check for October 2026. If Mandy has not already accumulated substantial qualifying hours this year, the 750-hour test may be impractical. Do not buy a year-end property solely on an assumption that hours can be recreated after the fact. A 2027 operating plan may be more defensible.

SHORT-TERM RENTALS

Average stays of seven days or less change the classification, not the need to participate

An activity whose average customer-use period is seven days or less is not treated as a rental activity under the passive-activity rules. If the household materially participates, its loss may be nonpassive without Mandy separately qualifying as a real estate professional.

Core test: total customer-use days divided by the number of rentals for the tax year. The result, not the property's marketing label, determines whether the seven-day exception applies.

A defensible short-term-rental fact pattern

Operational facts that help

- Documented owner work in pricing, listing, guest screening, procurement, maintenance coordination, bookkeeping, and quality control.
- One of the bright-line material-participation tests is met.
- Vendor and property-manager hours are known, especially if relying on the 100-hour/no-one-more test.
- The property is available for rent and placed in service in 2026.

Facts that can break the plan

- Average stay exceeds seven days and no other rental-activity exception applies.
- A manager or cleaner works more hours than either spouse when the selected test requires otherwise.
- Work consists mainly of investor review rather than operations.
- Personal use triggers vacation-home allocation limits.

Material-participation routes worth modeling

Test	Practical use	Evidence
>500 hours	Clear but labor intensive	Time log + task records
Substantially all	Owner-operated model	Owner vs vendor work
>100 hours; no one more	Lean vendor model	All-worker hour totals
Facts and circumstances	Least certain	Regular, continuous work

Do not call it a loophole. The classification can be valid, but the return position is highly fact dependent. Acquisition, management, average-stay calculation, personal-use allocation, depreciation, and participation records should be designed together.

DEPRECIATION ENGINEERING

100% bonus depreciation can accelerate eligible components, not land or the entire building

A cost-segregation study separates shorter-lived personal property and land improvements from the 27.5-year residential or 39-year nonresidential building. Under current federal law, qualifying property acquired and placed in service after January 19, 2025 can generally receive 100% additional first-year depreciation.

TYPICALLY EXCLUDED

Land

Land is not depreciable. Allocate purchase price using supportable valuation evidence.

POTENTIALLY ACCELERATED

5-, 7-, 15-year assets

Furniture, equipment, certain finishes, and land improvements may qualify when properly classified.

USUALLY SLOWER

Building shell

The structural building generally remains on the applicable real-property recovery period.

Pre-close model: four columns that matter

Input	Question	Failure mode
Tax basis	What is land vs building?	Inflated depreciable basis
Asset classes	What supports each life?	Marketing estimate only
Loss character	Passive or nonpassive?	Large suspended loss
Exit	Recapture and hold period?	Front-loaded benefit only

Implementation controls

- **Use a qualified study.** Require methodology, site inspection or defensible remote protocol, asset-level schedule, photographs, and reconciliation to closing records.
- **Confirm placed-in-service date.** The property must be ready and available for its intended business use, not merely purchased.
- **Model recapture.** Accelerated deductions reduce basis and can increase ordinary-income recapture or taxable gain at sale.
- **Model state conformity.** States may decouple from federal bonus depreciation or require additions and later subtractions.
- **Do not spend for the deduction.** Renovations should pass an operational return test before tax benefits.

Authorities: IRS Publication 946; IRS Notice 2026-11 summary

OIL AND GAS

A working interest can bypass passive classification, but it concentrates risk

A working interest held directly or through an entity that does not limit liability is treated as nonpassive even without material participation. This is the tax feature most often marketed to W-2 earners. It is also the feature that requires the most legal and investment diligence.

Potential federal benefits

- An election may permit current deduction of eligible intangible drilling and development costs.
- Depreciation may apply to tangible equipment.
- Depletion may reduce taxable income from qualifying production.
- A qualifying working-interest loss can be nonpassive.

Limits and exposures

- At-risk rules limit deductible loss to capital genuinely exposed to loss.
- Intangible drilling cost preferences can affect AMT.
- Limited-liability structures may not receive the working-interest exception.
- Dry-hole, reserve, title, operator, environmental, commodity-price, leverage, and liquidity risks are material.

Minimum diligence file before investment

Domain	Documents	Independent reviewer
Structure	Operating agreement; liability	Tax counsel
Geology	Reserve report; decline curves	Petroleum engineer
Economics	AFE; fees; sensitivities	Investment adviser
Title	Lease; net revenue interest	Oil & gas counsel
Tax	IDC split; K-1 timing; AMT	CPA / EA
Operator	Track record; insurance	Independent diligence

Red flags. Promised deduction percentages; guaranteed production; pressure tied to December 31; no independent reserve report; deductions projected above the actual at-risk amount; or an issuer unwilling to explain entity liability, fees, and K-1 assumptions.

Royalty interests and publicly traded partnerships are not automatically equivalent to a qualifying working interest. Confirm the exact legal interest and reporting path before relying on any nonpassive treatment.

LOWER-RISK LEVERS

Use certain, low-friction deductions before tax-driven investments

These items will not create six-figure deductions for most households, but they offer higher certainty, lower fees, and no investment thesis engineered around a tax loss.

Lever	2026 federal amount	Planning note
401(k), 403(b), 457 deferral	$24,500	Per eligible participant; plan terms control
Age 50+ catch-up	$8,000	Special $11,250 for ages 60-63
IRA contribution	$7,500	Deductibility may phase out
IRA age 50+ catch-up	$1,100	Compensation and income rules apply
HSA, self-only	$4,400	Must be HSA eligible
HSA, family	$8,750	Employer funding reduces room

For Jimmy's W-2 compensation

- Max pretax employer-plan contributions if the plan allows.
- Review supplemental wage withholding and year-to-date withholding.
- Evaluate nonqualified deferred compensation only if offered and after credit, liquidity, and distribution-risk review.
- Use available health and dependent-care accounts when household facts qualify.

For Mandy

- A spousal IRA may be available on a joint return even without her own wages, subject to compensation and deductibility rules.
- A solo 401(k), SEP IRA, or cash-balance plan requires bona fide net self-employment income or wages; a paper business is not enough.
- Paying a spouse does not by itself reduce joint taxable income and may add payroll tax and compliance cost.

2026 itemized-deduction checkpoint

The standard deduction for married filing jointly is $32,200. The federal state-and-local-tax (SALT) cap is $40,400 for 2026, but it begins to decline above $505,000 of modified adjusted gross income and cannot fall below $10,000. Compare itemizing with the standard deduction after mortgage interest, charitable gifts, and the SALT phase-down.

OTHER STRATEGIES

Most other tools manage timing or gains rather than offset wages

Charitable planning

- **Donate appreciated securities.** A direct gift to a public charity or donor-advised fund may avoid embedded capital gain and create an itemized deduction, subject to limits and substantiation.
- **Bunch gifts.** Concentrate several years of giving into one itemizing year, then recommend grants over time if a donor-advised fund fits the philanthropic plan.
- **Do not donate for tax alone.** The deduction returns only a fraction of the gift.
- **2026 nonitemizer rule.** Joint filers who do not itemize may deduct up to $2,000 of qualifying cash gifts.

Capital-gain planning

- **Tax-loss harvesting.** Realized capital losses first offset capital gains, then up to $3,000 of ordinary income; wash-sale and household-account coordination matter.
- **Asset location.** Hold tax-inefficient fixed income in tax-deferred accounts when portfolio design allows.
- **Municipal bonds.** Compare tax-equivalent yield, credit, call, duration, and state treatment; tax-free is not risk-free.

Timing tools

- **Estimated tax and withholding.** Withholding can generally be adjusted late in the year more flexibly than estimated payments, but safe-harbor and cash-flow calculations should be explicit.
- **Exercise planning.** If equity compensation exists, model ordinary income, capital-gain holding periods, and AMT before exercise or sale.
- **Qualified Opportunity Funds.** The original program's deferral ends no later than December 31, 2026, so it is not a durable way to defer 2026 gain beyond year-end; a ten-year appreciation benefit may remain for qualifying investments, but diligence is investment-driven.

Ideas that need more facts

- State pass-through entity tax election, only if there is qualifying business income.
- 529 plan state deduction or credit, depending on state.
- Qualified small business stock planning, if startup shares qualify.
- Section 1031 exchange, if investment real estate will be sold.
- Installment sale, charitable remainder trust, or exchange fund for concentrated appreciated assets.

2026 clean-energy caution. Major individual home-energy and clean-vehicle credits ended under the 2025 law changes; do not rely on old pre-2026 checklists. Separate commercial-property incentives also have accelerated termination dates.

MANDY'S ROLE

Bona fide work can unlock tax treatment; titles and paper entities cannot

Mandy's participation can be economically valuable when she is genuinely operating a business. The plan should read like an operating plan first and a tax plan second.

1. Select the business model

Long-term rental portfolio, short-term lodging, brokerage, property management, development, or another trade with a credible profit objective. Avoid creating a business solely to manufacture deductions.

2. Define owner-level responsibilities

Acquisition diligence, financing coordination, vendor selection, budgeting, pricing, guest or tenant management, bookkeeping supervision, maintenance decisions, compliance, and performance review.

3. Choose the tax test before the calendar fills

For long-term rentals, track Mandy's own real-estate-professional hours separately from the household's combined material-participation hours. For short-term rentals, identify the material-participation test and all worker hours.

4. Create contemporaneous evidence

Calendar entries should include date, property, task, time, and supporting record. Retain emails, invoices, platform logs, contracts, mileage, and decision documents. Exclude commuting and investor-only research where required.

5. Reconcile quarterly

Compare actual hours with the test, verify average stay, review personal-use days, and update the tax projection. Change operations for business reasons, not to backfill hours.

Household hour ledger

Date	Property / activity	Operational task	Person + hours
YYYY-MM-DD	Rental A	Vendor selection	Mandy / 1.5
YYYY-MM-DD	Rental A	Pricing decision	Jimmy / 0.5
YYYY-MM-DD	Rental B	On-site inspection	Mandy / 3.0

The sample rows show the format only; replace them with actual contemporaneous records. The tax return should never rely on estimates inserted merely to meet a threshold.

COMPARATIVE ASSESSMENT

Real-estate operations rank highest on fit; oil and gas ranks highest on risk

Scores are qualitative planning judgments based on the facts provided: high W-2 income, married filing likely, and Mandy available to participate. They are not expected-return forecasts.

Strategy	W-2 offset	Effort	Risk
Max W-2 deferrals / HSA	**Moderate**	Low	Low
Long-term rental + REP	**High**	Very high	Medium
Materially participated STR	**High**	High	Medium-high
Cost segregation alone	Low if passive	Medium	Medium
Oil / gas working interest	**High**	Medium	Very high
Charitable bunching	Moderate	Low	Low*
Tax-loss harvesting	Low for wages	Low	Low-medium
Spouse startup business	Low initially	High	High

*Economic cost equals the amount irrevocably given; “low risk” refers only to tax execution when properly substantiated.

Recommended sequencing

For 2026

1. Update full-year tax projection and withholding.
2. Max low-risk payroll and HSA levers.
3. Audit existing passive loss carryovers and activities.
4. Use only an investment whose pretax case stands independently.
5. If participation hours are already sufficient, document and complete placed-in-service steps.

For 2027 design

1. Select the operating model by January.
2. Establish hour and stay ledgers from day one.
3. Underwrite property before tax benefit.
4. Decide manager-vs-owner workload intentionally.
5. Model entity, insurance, state, and exit treatment before closing.

Recommended bias. Prefer simple, certain deferrals first; then an operating real-estate strategy if the household wants the underlying business; consider oil and gas only after independent investment and legal diligence.

EXECUTION PLAN

The next 90 days should produce a model, a file, and explicit go / no-go decisions

Within 7 days: assemble the baseline

Collect 2025 return, 2026 paystubs, investment statements, employer benefit elections, existing K-1s, passive-loss carryovers, estimated payments, and year-to-date charitable gifts. Identify filing state and planned moves.

Within 14 days: run three projections

Base case; real-estate case; oil-and-gas case. Each model should show regular tax, AMT, state tax, Net Investment Income Tax, cash invested, debt, suspended losses, recapture assumptions, and five-year after-tax internal rate of return.

Before any term sheet: tax sign-off

Obtain a written memo or annotated model from the return preparer addressing passive classification, material participation, basis, at-risk amount, excess business loss, depreciation method, state conformity, and reporting forms.

Before funding: independent diligence

Real estate requires market, inspection, insurance, debt, local lodging, and manager analysis. Oil and gas requires reserve, title, operator, fees, environmental, liability, and sensitivity review.

By year-end: finish the operational facts

Confirm placed-in-service status, execute valid elections, complete required contributions, update W-4 or withholding if appropriate, preserve evidence, and schedule January reconciliation.

Questions for the CPA / tax attorney

1. Which spouse, activity, and exact participation test supports nonpassive treatment?
2. Which hours count, which do not, and how should aggregation be handled?
3. What loss survives basis, at-risk, passive, excess-business-loss, AMT, and state limits in 2026?
4. What depreciation is eligible for 100% bonus, and what recapture is expected?
5. Does the legal entity preserve or defeat the oil-and-gas working-interest exception?
6. What elections and forms must be filed, and what are the deadlines?

INFORMATION REQUEST

These facts are needed before a personalized recommendation is possible

Income and return

- Expected 2026 W-2 wages, bonuses, equity compensation, and withholding.
- Filing state(s), residency changes, and local tax.
- 2025 adjusted gross income, taxable income, AMT, and total tax.
- 2026 capital gains, interest, dividends, and K-1 income.
- Passive loss carryovers by activity.

Benefits and family

- Ages, employer-plan eligibility, and contributions to date.
- HSA eligibility and employer HSA deposits.
- Dependents, education costs, childcare, and medical costs.
- Charitable intent and appreciated assets.

Real estate

- Existing properties, ownership, debt, use, and placed-in-service dates.
- Average guest stay and vendor hours for any short-term rental.
- Mandy's 2026 work calendar and other trade or business hours.
- Personal-use days and related-party use.
- Purchase budget, target market, and hold period.

Oil, gas, and other assets

- Proposed entity and liability structure.
- Offering documents, AFE, reserve report, and fee schedule.
- Concentrated stock, startup shares, business interests, and planned sales.
- Liquidity reserve and acceptable loss capacity.

Decision rule. No transaction should proceed until the pretax case is acceptable, the loss is modeled as both currently usable and fully suspended, and the household can tolerate the worse result.

Assumptions used in this report

The household is assumed to file jointly, have material W-2 income, and have no facts supplied about age, state, dependents, existing businesses, employer plans, portfolio, prior passive losses, or current real-estate ownership. Mandy is assumed not to have another job in 2026, but no assumption is made that she has already met any hour test. All dollar limits shown are federal 2026 amounts and may not be adopted by the filing state.

SOURCES

Primary federal authorities and current guidance

1. Internal Revenue Service, Publication 925 (2025), Passive Activity and At-Risk Rules. Rental-activity exceptions, material participation, real-estate-professional rules, spouse participation, oil and gas working-interest exception.
2. Internal Revenue Service, Publication 946 (2025), How To Depreciate Property. 100% bonus depreciation under Public Law 119-21 and qualified-property rules.
3. Internal Revenue Service, Treasury and IRS guidance on additional first-year depreciation, January 14, 2026.
4. Internal Revenue Service, Instructions for Form 6198. At-risk limitation framework, including oil and gas activities.
5. Internal Revenue Service, Tips on Reporting Natural Resource Income. Working-interest expenses and depletion overview.
6. Internal Revenue Service, Topic No. 556, Alternative Minimum Tax. AMT computation framework.
7. Internal Revenue Service, 2026 retirement contribution limits, Notice 2025-67 summary.
8. Internal Revenue Service, Publication 969 (2025), Health Savings Accounts and Other Tax-Favored Health Plans. 2026 HSA limits.
9. Internal Revenue Service, 2026 inflation adjustments, Revenue Procedure 2025-32 summary.
10. Internal Revenue Service, 2026 SALT deduction correction. $40,400 joint cap and phase-down threshold.
11. Internal Revenue Service, Topic No. 506, Charitable Contributions. 2026 nonitemizer cash-gift deduction and substantiation overview.
12. Internal Revenue Service, Invest in a Qualified Opportunity Fund. Original Opportunity Zone deferral ending no later than December 31, 2026.
13. Internal Revenue Service, 2025 law changes to clean-energy credits and deductions. Accelerated termination dates.
14. Internal Revenue Service, Publication 505 (2026), Tax Withholding and Estimated Tax. Withholding, estimated-tax, and safe-harbor planning.

Currency and scope. Sources were checked against IRS material available through October 10, 2026. Publication 925 and several other annual publications remain labeled 2025 but reflect the operative framework unless superseded. Future guidance, corrections, litigation, or state law may change the analysis.

Professional-use note. Give this brief, the requested facts on page 13, and any offering documents to a CPA, enrolled agent, tax attorney, and appropriately licensed investment professional. Ask them to document disagreements in writing before implementation.